

Closing Transactions in Michigan

STUDY SHEET

Closing: Two Definitions

1. The meeting to sign closing documents
2. The actual closing of the transaction where all obligations of the parties have been met
 - Buyer's loan (if financed)
 - Real estate transaction

Closing Agent

- May be an attorney, escrow officer, or settlement agent
- Prepares title abstract
- Records deed
- Prepares closing statement and paperwork
- Manages document signing at closing
- Receives and disburses funds

Closings in Michigan: Two Types

1. **Round table** : All parties involved are present
2. **Escrow** : All parties need not be present

Closing Documents

- **Closing statement** (a.k.a., settlement sheet): Reconciles financial obligations for buyer and seller.
- **Loan Estimate**: Key features, costs, and risks of the mortgage loan. Must be provided to loan applicant within three business days.
- **Closing Disclosure** : Final costs of the transaction. Must be provided to the buyer three business days before loan closes

Closing Costs and Prorations

- **Debit**: Amount owed
- **Credit**: Amount already paid, reimbursed, or promised
- **Proration**: Divided proportionally between the buyer and seller

Earnest Money, Escrow Funds and Procedures

- Earnest money is deposited into an escrow account or client trust fund as soon as practical (within two business days after offer acceptance, or as otherwise agreed to by the parties)
- Disbursement requirements
- Recordkeeping requirements for escrow funds: must keep records for three years
- Escrow terms:
 - Limited agent
 - Impartiality

- Interpleader
- Commingling
- Conversion

Taxes at closing

- Taxpayer Relief Act of 1997 allows buyers to use retirement funds for closing costs in certain circumstances.
- Some closing costs are tax deductible.
- Transfer, grantor, and recordation taxes are usually negotiated between buyer and seller.
- Unpaid property taxes can become a lien on property when sold.
- Non-resident seller taxes must be withheld at closing.
- Sellers may be allowed a capital gains exclusion.

Title transfer issues can occur with...

- **Short sales**
 - Unrecorded liens, junior lenders that may not approve the short sale, lengthy approval process (of the lender), and a lender's change of heart in the amount of money it needs to receive from the sale
- **Foreclosures**
 - Bankruptcy can halt the foreclosure process
 - **Due to complexity, transfers take more time and work, raising closing costs**
- **REOs**
 - Unrecorded liens or claims may exist